

CONDENSED CONSOLIDATED INTERIM FINANCIAL STATEMENTS



FOR THE THREE-MONTH PERIOD
ENDED 31 MARCH 2022

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Independent Auditors' Report on Review of Condensed Consolidated Interim Financial Statements

To the Shareholders of First Abu Dhabi Bank P.J.S.C

Introduction

We have reviewed the accompanying 31 March 2022 condensed consolidated interim financial statements of First Abu Dhabi Bank P.J.S.C. ("the Bank") and its subsidiaries (collectively referred to as "the Group"), which comprises:

- the condensed consolidated interim statement of financial position as at 31 March 2022;
- the condensed consolidated interim statement of profit or loss for the three-month period ended 31 March 2022;
- the condensed consolidated interim statement of comprehensive income for the three-month period ended 31 March 2022;
- the condensed consolidated interim statement of changes in equity for the three-month period ended 31 March 2022;
- the condensed consolidated interim statement of cash flows for the three-month period ended 31 March 2022; and
- notes to the condensed consolidated interim financial statements.

Management is responsible for the preparation and presentation of this condensed consolidated interim financial statements in accordance with IAS 34, 'Interim Financial Reporting'. Our responsibility is to express a conclusion on this condensed consolidated interim financial statements based on our review.

Scope of Review

We conducted our review in accordance with the International Standard on Review Engagements 2410, "Review of Interim Financial Information Performed by the Independent Auditor of the Entity". A review of condensed consolidated interim financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.



Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying 31 March 2022 condensed consolidated interim financial statements is not prepared, in all material respects, in accordance with IAS 34, 'Interim Financial Reporting'.

KPMG Lower Gulf Limited

Richard Ackland
Registration No.: 1015
Abu Dhabi, United Arab Emirates

Date: 27 April 2022

Condensed consolidated interim statement of financial position

As at

Assets	Note	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Cash and balances with central banks	5	207,920,564	258,778,449
Investments at fair value through profit or loss	6	35,566,640	45,572,252
Due from banks and financial institutions		19,115,782	19,325,594
Reverse repurchase agreements		44,538,921	46,260,645
Derivative financial instruments		33,017,019	24,273,766
Loans, advances and Islamic financing	7	433,797,471	410,154,614
Non-trading investments	8	155,913,059	145,475,390
Investment properties	9	7,478,954	6,962,576
Property and equipment		5,694,965	5,748,574
Intangibles	10	19,394,275	19,440,403
Other assets		18,725,588	18,351,114
Total assets		981,163,238	1,000,343,377
Liabilities			
Due to banks and financial institutions	11	60,672,973	56,985,180
Repurchase agreements		50,794,286	55,074,494
Commercial paper	12	28,542,814	39,664,252
Derivative financial instruments		34,838,715	28,395,085
Customer accounts and other deposits	13	599,873,236	614,459,265
Term borrowings	14	64,200,940	71,643,816
Subordinated notes	15	444,921	448,908
Other liabilities		30,784,541	20,842,804
Total liabilities		870,152,426	887,513,804
Equity			
Share capital	16	11,047,612	10,920,000
Share premium		53,557,581	53,557,581
Treasury shares		(6,505)	(6,430)
Statutory and special reserves		13,084,313	10,920,000
Other reserves	16	2,091,107	3,569,185
Tier 1 capital notes	17	10,754,750	10,754,750
Share based payment		249,816	249,816
Retained earnings		20,214,026	22,849,243
Total equity attributable to shareholders of the Bank		110,992,700	112,814,145
Non-controlling interest		18,112	15,428
Total Equity		111,010,812	112,829,573
Total liabilities and equity		981,163,238	1,000,343,377

To the best of our knowledge, the financial statements present fairly in all material respects the financial condition, financial performance and cash flows of the Group as of, and for, the periods presented therein.
These condensed consolidated interim financial statements were approved by the Board of Directors and authorized for issue on 27 April 2022 and signed on its behalf:

Chairman

Group Chief Executive Officer

Group Chief Financial Officer

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

The independent auditors report on review of condensed consolidated interim financial statements is set out on pages 2 and 3.

Condensed consolidated interim statement of profit or loss

For the three month period ended (Unaudited)

	Note	31 Mar 2022 AED'000	31 Mar 2021 AED'000
Interest income		4,259,468	3,896,129
Interest expense		(1,396,034)	(1,443,214)
Net interest income		2,863,434	2,452,915
Income from Islamic financing and investing products		491,132	452,023
Distribution on Islamic deposits		(219,818)	(225,621)
Net income from Islamic financing and investing products		271,314	226,402
Total net interest income and income from Islamic financing and investing products		3,134,748	2,679,317
Fee and commission income		1,080,509	1,086,304
Fee and commission expense		(305,135)	(423,486)
Net fee and commission income		775,374	662,818
Net foreign exchange (loss) / gain	19	(166,722)	318,822
Net gain on investments and derivatives	20	631,799	358,059
Other operating income	21	82,960	363,187
Operating income		4,458,159	4,382,203
Gain on disposal of stake in subsidiary and fair value gain on retained interest	22	2,805,423	-
Total income including gain on disposal of stake in subsidiary and fair value gain on retained interest		7,263,582	4,382,203
General, administration and other operating expenses	23	(1,521,361)	(1,319,034)
Profit before net impairment charge and taxation		5,742,221	3,063,169
Net impairment charge	24	(457,400)	(470,282)
Profit before taxation		5,284,821	2,592,887
Income tax expense		(161,562)	(113,655)
Profit for the period		5,123,259	2,479,232
Profit attributable to:			
Shareholders of the Bank		5,120,263	2,475,627
Non-controlling interests		2,996	3,605
		5,123,259	2,479,232
Basic earnings per share (AED)	25	0.45	0.21
Diluted earnings per share (AED)	25	0.45	0.21

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

The independent auditors report on review of condensed consolidated interim financial statements is set out on pages 2 and 3.

Condensed consolidated interim statement of comprehensive income

For the three month period ended (Unaudited)

	31 Mar 2022 AED'000	31 Mar 2021 AED'000
Profit for the period	5,123,259	2,479,232
Other comprehensive income		
Items that are or may be reclassified subsequently to profit or loss		
Exchange difference on translation of foreign operations	(321,522)	(682,875)
Net change in fair value reserve during the period (including ECL)	(1,252,702)	60,704
Items that will not be reclassified to profit or loss		
Equity investments at fair value through other comprehensive income – net change in the fair value	86,654	66,005
Re-measurement of defined benefit obligations	3,098	(249)
Other adjustments	5,750	-
Other comprehensive loss for the period	(1,478,722)	(556,415)
Total comprehensive income for the period	3,644,537	1,922,817
Comprehensive income attributable to:		
Shareholders of the Bank	3,641,853	2,262,723
Non-controlling interest	2,684	(339,906)
Total comprehensive income for the period	3,644,537	1,922,817

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

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Condensed consolidated interim statement of changes in equity

For the three month period ended (Unaudited)

	Share capital AED'000	Share premium AED'000	Treasury shares AED'000	Statutory and special reserves AED'000	Other reserves AED'000	Tier 1 capital notes AED'000	Share based payment AED'000	Retained earnings AED'000	Equity attributable to share-holders of the Bank AED'000	Non-controlling interest AED'000	Total AED'000
Balance at 1 Jan 2022	10,920,000	53,557,581	(6,430)	10,920,000	3,569,185	10,754,750	249,816	22,849,243	112,814,145	15,428	112,829,573
Profit for the period	-	-	-	-	-	-	-	5,120,263	5,120,263	2,996	5,123,259
Other comprehensive loss for the period	-	-	-	-	(1,478,078)	-	-	(332)	(1,478,410)	(312)	(1,478,722)
<u>Transactions with owners of the Group</u>											
Dividend for the year (net of treasury shares)	127,612	-	(75)	2,164,313	-	-	-	(7,639,498)	(5,347,648)	-	(5,347,648)
Payment on Tier 1 capital notes (note 17)	-	-	-	-	-	-	-	(115,650)	(115,650)	-	(115,650)
Balance at 31 Mar 2022	11,047,612	53,557,581	(6,505)	13,084,313	2,091,107	10,754,750	249,816	20,214,026	110,992,700	18,112	111,010,812
Balance at 1 Jan 2021	10,920,000	53,538,584	(8,980)	10,920,000	2,882,421	10,754,750	249,816	19,418,076	108,674,667	364,325	109,038,992
Profit for the period	-	-	-	-	-	-	-	2,475,627	2,475,627	3,605	2,479,232
Other comprehensive loss for the period	-	-	-	-	(212,655)	-	-	(249)	(212,904)	(343,511)	(556,415)
<u>Transactions with owners of the Group</u>											
Zakat	-	-	-	-	-	-	-	1,013	1,013	-	1,013
Treasury shares movements during the period (note 18)	-	4,960	595	-	-	-	-	-	5,555	-	5,555
Dividend for the year (net of treasury shares)	-	-	-	-	-	-	-	(8,074,594)	(8,074,594)	-	(8,074,594)
Payment on Tier 1 capital notes (note 17)	-	-	-	-	-	-	-	(119,718)	(119,718)	-	(119,718)
IFRS 9 reserve movement	-	-	-	-	446	-	-	(446)	-	-	-
Realised gain on sale of FVOCI investment	-	-	-	-	(2,035)	-	-	2,035	-	-	-
Balance at 31 Mar 2021	10,920,000	53,543,544	(8,385)	10,920,000	2,668,177	10,754,750	249,816	13,701,744	102,749,646	24,419	102,774,065

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

The independent auditors report on review of condensed consolidated interim financial statements is set out on pages 2 and 3.

Condensed consolidated interim statement of cash flows

For the three month period ended (Unaudited)

	Note	31 Mar 2022 AED'000	31 Mar 2021 AED'000
Cash flows from operating activities			
Profit before taxation		5,284,821	2,592,887
Adjustments for:			
Depreciation and amortisation		271,270	218,973
Gain on sale of investment property		-	(1,300)
Gain on sale of property and equipment		(95)	(294,241)
Gain on sale of a subsidiary	22	(2,805,423)	-
Net impairment charge		517,148	574,318
Accreted interest		118,265	121,871
Foreign currency translation adjustment		(651,047)	(1,092,924)
		2,734,939	2,119,584
Changes in:			
Investments at fair value through profit or loss		10,028,321	(1,016,808)
Due from central banks, banks and financial institutions		2,888,056	11,915,504
Reverse repurchase agreements		1,704,448	(12,008,066)
Loans, advances and Islamic financing		(24,080,774)	8,186,942
Other assets		1,355,605	399,113
Due to banks and financial institutions		3,687,793	(576,455)
Repurchase agreements		(4,280,208)	802,030
Customer accounts and other deposits		(14,291,511)	27,448,916
Derivative financial instruments		(3,769,652)	(4,111,011)
Other liabilities		3,828,103	(6,994,072)
		(20,194,880)	26,165,677
Income tax paid, net of recoveries		(157,454)	(96,688)
Directors' remuneration paid		(45,000)	(48,000)
Net cash (used in) / from operating activities		(20,397,334)	26,020,989
Cash flows from investing activities			
Net movement in non-trading investments		(10,383,186)	(5,581,892)
Net movement in investment property		(516,378)	(53,367)
Net movement in property and equipment		(43,929)	83,981
Net cash used in investing activities		(10,943,493)	(5,551,278)
Cash flows from financing activities			
Proceeds from issue of shares under share based payment		-	5,555
Net movement of commercial paper		(11,121,438)	(2,707,863)
Issue of term borrowings		2,143,820	11,717,685
Repayment of term borrowings		(7,755,685)	(1,248,909)
Payment on Tier 1 capital notes		(115,650)	(119,718)
Net cash (used in) / from financing activities		(16,848,953)	7,646,750
Net (decrease) / increase in cash and cash equivalents		(48,189,780)	28,116,461
Cash and cash equivalents at 1 Jan	26	272,814,120	239,189,237
Cash and cash equivalents at 31 Mar	26	224,624,340	267,305,698

The notes 1 to 33 are an integral part of these condensed consolidated interim financial statements.

The independent auditors report on review of condensed consolidated interim financial statements is set out on pages 2 and 3.

Notes to the condensed consolidated interim financial statements

1 Legal status and principal activities

On 7 December 2016, Shareholders of National Bank of Abu Dhabi PJSC (“NBAD”) and First Gulf Bank PJSC (“FGB”) approved the merger of the two banks pursuant to Article 283(1) of UAE Federal Law No. 2 of 2015 Concerning Commercial Companies (the Law). The merger was effected through the issuance of 1.254 new NBAD shares for every 1 share in FGB on close of business 30 March 2017, subsequent to which FGB shares were delisted from Abu Dhabi Securities Exchange. On 25 April 2017, NBAD shareholders approved the proposal to change the name of the combined bank to ‘First Abu Dhabi Bank’ (the “Bank”) and have its registered office in FAB Building, Khalifa Business Park 1 Al Qurum P. O. Box 6316 Abu Dhabi, United Arab Emirates.

These condensed consolidated interim financial statements as at and for the period ended 31 March 2022, comprise the Bank and its subsidiaries (together referred to as the “Group”). The Group is primarily engaged in corporate, retail, private and investment banking activities, management services, Islamic banking activities, real estate activities; and carries out its operations through its local and overseas branches, subsidiaries and representative offices located in the United Arab Emirates, Bahrain, Brazil, Cayman Islands, China, Egypt, France, Hong Kong, India, Indonesia, Jordan¹, Kingdom of Saudi Arabia, Kuwait, Lebanon¹, Libya, Malaysia, Oman, Qatar², Singapore, South Korea, Switzerland, the United Kingdom and the United States of America.

The Group’s Islamic banking activities are conducted in accordance with Islamic Sharia’a laws issued by the Internal Shariah Supervision Committee (“ISSC”).

The Group is listed on the Abu Dhabi Securities Exchange (Ticker: FAB).

The consolidated financial statements of the Group as at and for the year ended 31 December 2021 are available upon request from the Group’s registered office or at <http://www.bankfab.com>

¹ Under closure.

² The Bank has notified the Qatar Financial Centre Regulatory Authority (“QFCRA”) that it will relinquish its Qatar Financial Centre (“QFC”) branch license and permanently close its QFC branch.

2 Statement of compliance

These condensed consolidated interim financial statements have been prepared on an ongoing basis in accordance with IAS 34 Interim Financial Reporting and the requirements of applicable laws in the UAE. They do not include all the information required for the complete set of annual consolidated financial statements as required under International Financial Reporting Standards (“IFRS”). These condensed consolidated interim financial statements should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2021.

The Group is required, for the period ended 31 March 2022, to be in compliance with the provisions of the UAE Federal Law No. 2 of 2015, as amended. On 20 September 2021, the UAE Federal Decree Law No. 32 of 2021 was issued and came into effect on 2 January 2022 which repealed the UAE Federal Law No. 2 of 2015 (as amended). The Group has 12 months from 2 January 2022 to comply with the provisions of the UAE Federal Decree Law No 32 of 2021.

These condensed consolidated interim financial statements were authorised for issue by the Board of Directors on 27 April 2022.

3 Significant accounting policies

The accounting policies applied by the Group in these condensed consolidated interim financial statements are the same as those applied by the Group in its consolidated financial statements as at and for the year ended 31 December 2021, except the adoption of the following new standards as of 1 January 2022.

The following amendments to existing standards and framework have been applied by the Group in preparation of these condensed consolidated interim financial statements. The adoption of the below did not result in changes to previously reported net profit or equity of the Group.

Notes to the condensed consolidated interim financial statements (continued)

3 Significant accounting policies (continued)

Description	Effective from
Reference to the Conceptual Framework (Amendments to IFRS 3)	1 January 2022
Property, Plant and Equipment: Proceeds before Intended Use (Amendments to IAS 16)	1 January 2022
Onerous Contracts – Cost of Fulfilling a Contract (Amendments to IAS 37).	1 January 2022
First-time Adoption of International Financial Reporting Standards: Subsidiary as a first-time adopter (Annual improvements to IFRS 1)	1 January 2022
Financial Instruments: Fees in the '10 per cent' test for derecognition of financial liabilities (Annual improvements to IFRS 9)	1 January 2022
COVID-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16)	1 January 2022

Interest Rate Benchmark Reform:

A fundamental reform of major interest rate benchmarks is being undertaken globally, replacing some Interbank offered rates ("IBORs") with alternative risk-free benchmark reference rate ("RFRs"). The Group has significant exposure to certain IBORs on its financial instruments that are being reformed as part of these market-wide initiatives.

IBORs, such as the London Interbank Offered Rate ("LIBOR"), plays a critical role in global financial markets, serving as reference rates for derivatives, Loans, advances and Islamic financing, and as parameters in the valuation of financial instruments. It is primarily replaced by overnight RFRs, administered by local rate administrators. With the exception of SARON and ESTR (an overnight replacement rates for CHF LIBOR and EUR LIBOR), term rates are available for all other RFRs.

On 5 March 2021, Financial Conduct Authority (FCA) has announced the future cessation or loss of representativeness dates of all LIBOR tenors across all currencies. FCA concluded that all Non-USD LIBOR (GBP, JPY, CHF and EUR) and selected tenors of USD LIBOR (1-week and 2-month) will either cease to exist or become non-representative after 31 December 2021, while remaining USD LIBOR tenors will continue till 30 June 2023. Global regulators had recommended Banks to cease issuance of new LIBOR linked products (including USD LIBOR) after 31 December 2021. Consistent with this announcement, as of 31 December 2021 a formal cessation was triggered for all GBP, EUR, CHF and JPY settings as well as the 1-week and 2-month USD LIBOR settings.

The Group continues to coordinate and oversee the transition from IBORs to RFRs with no significant changes to the project or transition risks disclosed in Note 45 (c) of the annual consolidated financial statements for the year ended 31 December 2021. The project plan continues to be on target and the Group continues to progress on its transition plan for the remaining USD LIBOR settings which will cease to be published immediately after 30 June 2023. The Group continue to monitor industry developments in this space and have also implemented controls to ensure new USD LIBOR trades are for permitted purposes only during this transition.

FAB's approach towards IBOR Transition

Loans, Bonds and other On Balance Sheet exposures

FAB initiated its IBOR transition project in 2019. The Project is sponsored by the Group CFO and is being led by senior representatives from functions across the Group including the client facing teams, Legal, Finance, Operations and Technology. The Group has maintained its momentum in tracking its exposure to IBORs, preparing its IT systems to accommodate the incoming Risk-Free Rates, amending, or preparing contractual templates and communicating its progress with both the Regulators and its clients. The Project provides monthly progress updates to the Project sponsors. The Group has successfully achieved the transition for a significant portion of its IBOR exposure to RFRs as of 31 December 2021 and has in place detailed plans, processes, and procedures to support the transition of the overnight, one-month, three-month, six-month and 12-month USD LIBOR settings before 30 June 2023.

For contracts indexed to an IBOR that mature after the expected cessation of the IBOR rate, the Group has established policies to amend the contractual terms. These amendments include the addition of fallback clauses or replacement of the IBOR rate with an alternative benchmark rate.

As at 31 March 2022, the IBOR reform in respect of currencies to which the Group has exposure has been largely completed. The table below sets out the IBOR rates that the Group had exposure to, the new benchmark rates to which these exposures have or are being transitioned, and the status of the transition.

Notes to the condensed consolidated interim financial statements (continued)

3 Significant accounting policies (continued)

Interest Rate Benchmark Reform (continued)

Loans, Bonds and other On Balance Sheet exposures (continued)

Currency	Benchmark before Reform	Benchmark after Reform	31 Mar 2022	31 Dec 2021
GBP	GBP LIBOR	SONIA	Completed	Completed
USD	USD LIBOR	SOFR	In progress	In progress
EURO	EONIA	€STR	Completed	Completed
EURO	EURIBOR	EURIBOR reformed	Completed	Completed
JPY	JPY LIBOR	TONAR / TORF	Completed	Completed
CHF	CHF LIBOR	SARON	Completed	Completed

In line with the regulatory guidance, FAB will continue to actively transition LIBOR products to suitable alternatives where possible. However, if this is not achieved, those products will use synthetic LIBOR where applicable and until they are transitioned.

Derivatives and hedge accounting

The Group holds derivatives for trading and risk management purposes. Derivatives held for risk management purposes are designated in hedging relationships. The interest rate and cross-currency swaps have floating legs that are indexed to various IBORs. On 23 October 2020, International Swaps and Derivatives Association ('ISDA') reviewed its definitions in light of IBOR reform and issued an IBOR fallbacks supplement. This sets out how the amendments to new alternative benchmark rates (e.g. SOFR, SONIA) in the 2006 ISDA definitions will be accomplished. The effect of the supplement is to create fallback provisions in derivatives that describe what floating rates will apply on the permanent discontinuation of certain key IBORs or on ISDA declaring a non-representative determination of an IBOR.

The Group had adhered to the adoption of the ISDA protocol as a fallback provision, which came into effect in January 2021, and the successful changes made by clearing houses to discount derivatives using the euro short-term rate ('€STR') and SOFR, to reduce the risk of a disorderly transition of the derivatives market. If derivative counterparties also adhere to the protocol, then new fallbacks will be automatically implemented in existing derivative contracts. Consequently, the Group is monitoring whether its counterparties will also adhere to the protocol and, if there are counterparties that will not, then the Group plans to negotiate with them bilaterally about inclusion of new fallback clauses.

Hedging relationships impacted by uncertainty about IBOR reform may experience ineffectiveness attributable to market participants' expectations of when the shift from the existing IBOR benchmark rate to an alternative benchmark interest rate will occur. This transition may occur at different times for the hedged item and the hedging instrument, which may lead to hedge ineffectiveness.

The objective of the majority of these hedges and consistent with the overall interest rate risk management strategy of FAB is to reduce fluctuations of the fair value of bonds purchased by FAB or its own issuances which pay a fixed rate and also reduce fluctuations from foreign exchange risk if these are denominated in another currency that is not AED or USD.

Standard Issued but not yet Effective

A number of new standards and amendments to standards are effective for annual periods beginning after 1 January 2022 and earlier application is permitted. The Group has not early adopted any of the forthcoming new or amended standards in preparing these condensed consolidated interim financial statements.

The following new standard and amendments to the standards are applicable to annual reporting periods beginning on or after 1 January 2023 and early application is permitted. The Group is currently evaluating the impact of the new standard and amendments to the standards and expects to adopt them on the effective date.

- Classification of Liabilities as Current or Non-current (Amendments to IAS 1).
- IFRS 17 Insurance Contracts and amendments to IFRS 17 Insurance Contracts.
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2).
- Definition of Accounting Estimates (Amendments to IAS 8).
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12)

Notes to the condensed consolidated interim financial statements (continued)

3 Significant accounting policies (continued)

Basis of consolidation

Subsidiaries are investees that are controlled by the Group. The Group controls the investee if it meets the control criteria. The Group reassesses whether it has control if, there are changes to one or more of the elements of control. This includes circumstances in which protective rights held become substantive and lead to the Group having power over an investee. The financial statements of subsidiaries are included in these condensed consolidated interim financial statements from the date that control commences until the date that control ceases.

Profit or loss and each component of other comprehensive income ("OCI") are attributed to the equity holders of the Bank and to the non-controlling interests ("NCI"), even if this results in the NCI having a deficit balance.

The condensed consolidated interim financial statements comprise the financial statements of the Bank and those of its following subsidiaries:

Legal Name	Country of incorporation	Principal activities	Holding % 2022
First Abu Dhabi Bank USA N.V.	Curacao	Banking	100%
FAB Securities LLC	United Arab Emirates	Brokerage	100%
Abu Dhabi National Leasing LLC	United Arab Emirates	Leasing	100%
Abu Dhabi National Properties Pvt. JSC	United Arab Emirates	Property Management	100%
FAB Private Bank (Suisse) SA	Switzerland	Banking	100%
First Abu Dhabi Islamic Finance PJSC	United Arab Emirates	Islamic Finance	100%
Abu Dhabi Securities Brokerage Egypt ¹	Egypt	Brokerage	96%
NBAD Employee Share Options Limited	United Arab Emirates	Shares and Securities	100%
SAS 10 Magellan	France	Real Estate Brokerage	100%
National Bank of Abu Dhabi Representações Ltda	Brazil	Representative office	100%
FAB Global Markets (Cayman) Limited	Cayman Islands	Financial Institution	100%
Nawat Management Services - One Man Company LLC	United Arab Emirates	Services	100%
Mismak Properties Co. LLC (Mismak)	United Arab Emirates	Real estate investments	100%
Moora Properties Co. LLC (Subsidiary of Mismak)	United Arab Emirates	Real estate investments	67%
First Merchant International LLC (FMI)	United Arab Emirates	Real estate investments	100%
FAB Employment Services LLC (Subsidiary of FMI)	United Arab Emirates	Resourcing services	100%
FAB Resourcing Services LLC (Subsidiary of FMI)	United Arab Emirates	Resourcing services	100%
FAB Sukuk Company Limited	Cayman Islands	Special purpose vehicle	100%
First Gulf Libyan Bank ²	Libya	Banking services	50%
FAB Properties LLC	United Arab Emirates	Management and brokerage of real estate properties	100%
First Gulf Information Technology LLC (FGIT)	United Arab Emirates	IT Services	100%
FAB Investment KSA (single Shareholder LLC)	Kingdom of Saudi Arabia	Financial Institution	100%
FAB Global Business Services Limited (Subsidiary of FGIT)	India	IT Services	100%
Bank Audi SAE	Egypt	Banking	100%

¹ Under liquidation.

² Although the Bank owns 50% of the outstanding shares of First Gulf Libyan Bank, the investment has been classified as a subsidiary as the Bank exercises control over the investee because it casts the majority of the votes on the board of directors.

Notes to the condensed consolidated interim financial statements (continued)

4 Use of estimates and judgements

The preparation of these condensed consolidated interim financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expense. Actual results may differ from these estimates.

In preparing these condensed consolidated interim financial statements, the significant judgements made by management in applying the Group's accounting policies and the key sources of estimation and uncertainty were the same as those that were applied to the consolidated financial statements as at and for the year ended 31 December 2021.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

5 Cash and balances with central banks

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Cash on hand	1,804,275	1,903,157
Central Bank of the UAE		
cash reserve deposits	4,660,896	19,278,099
other balances	40,500,000	21,000,000
Balances with other central banks	161,100,012	216,753,723
	208,065,183	258,934,979
Less: expected credit losses	(144,619)	(156,530)
	207,920,564	258,778,449

As per the new UAE regulations, the bank is allowed to draw their balances held in the UAE reserve account, while ensuring that they meet the reserve requirements over 14 days period. Balances with other central banks includes mandatory reserves which are available for day-to-day operations only under certain specified conditions.

6 Investments at fair value through profit or loss

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Investments in managed funds	10,860	12,480
Investment in private equities	2,226,438	2,165,377
Investments in equities	6,592,878	6,744,044
Debt securities	26,736,464	36,650,351
	35,566,640	45,572,252

Notes to the condensed consolidated interim financial statements (continued)

7 Loans, advances and Islamic financing

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Gross loans, advances and Islamic financing	452,658,581	428,783,318
Less: interest suspended	(5,607,300)	(5,400,613)
Less: expected credit losses	(13,253,810)	(13,228,091)
Net loans, advances and Islamic financing	<u>433,797,471</u>	<u>410,154,614</u>

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
By counterparty:		
Government sector	45,410,139	41,254,574
Public sector	100,029,036	96,109,500
Banking sector	16,194,316	11,700,842
Corporate / private sector	208,323,004	201,714,735
Personal / retail sector	82,702,086	78,003,667
Gross loans, advances and Islamic financing	<u>452,658,581</u>	<u>428,783,318</u>

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
By product:		
Overdrafts	26,611,930	27,806,101
Term loans	353,492,823	332,827,126
Trade related loans	34,157,524	29,252,435
Personal loans	30,928,730	31,127,570
Credit cards	5,205,675	5,458,971
Vehicle financing loans	2,261,899	2,311,115
Gross loans, advances and Islamic financing	<u>452,658,581</u>	<u>428,783,318</u>

Notes to the condensed consolidated interim financial statements (continued)

7 Loans, advances and Islamic financing (continued)

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Concentration by industry sector:		
Agriculture	2,075,040	1,533,714
Energy	36,859,564	37,916,788
Manufacturing	23,150,549	23,584,325
Construction	12,191,440	11,992,473
Real estate	91,617,020	93,387,686
Trading	24,359,999	25,374,643
Transport and communication	37,157,684	37,330,136
Banks	16,194,316	11,700,842
Other financial institutions	49,281,116	40,076,241
Services	31,659,628	26,628,229
Government	45,410,139	41,254,574
Personal – Loans and Credit cards	57,030,674	52,740,445
Personal - Retail Mortgage	25,671,412	25,263,222
Gross loans, advances and Islamic financing	<u>452,658,581</u>	<u>428,783,318</u>

Islamic financing

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Ijara	12,185,558	11,553,264
Murabaha	26,671,634	24,864,303
Others	457,824	485,158
Total Islamic financing contracts	<u>39,315,016</u>	<u>36,902,725</u>
Less: expected credit loss	(1,055,560)	(1,053,769)
Less: suspended profit	(160,627)	(154,038)
	<u>38,098,829</u>	<u>35,694,918</u>

8 Non-trading Investments

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Fair value through other comprehensive income:		
- with recycle to profit or loss (Debt Investments)	148,413,119	139,980,556
- without recycle to profit or loss (Equity Investments)	1,036,551	927,584
Amortised cost	4,953,596	4,492,104
Investment in associates and joint venture ¹	1,510,228	75,745
	<u>155,913,494</u>	<u>145,475,989</u>
Less: expected credit losses	(435)	(599)
	<u>155,913,059</u>	<u>145,475,390</u>

¹Includes 40 % of retained interest in Magnati (note 22)

Notes to the condensed consolidated interim financial statements (continued)

8 Non-trading Investments (continued)

An analysis of non-trading investments by type at the reporting date is shown below:

	(Unaudited) 31 Mar 2022 AED'000			(Audited) 31 Dec 2021 AED'000		
	Quoted	Unquoted	Total	Quoted	Unquoted	Total
Equity investments	831,537	1,715,242	2,546,779	722,426	280,903	1,003,329
Debt investments	152,181,724	1,184,991	153,366,715	143,488,689	983,971	144,472,660
	<u>153,013,261</u>	<u>2,900,233</u>	<u>155,913,494</u>	<u>144,211,115</u>	<u>1,264,874</u>	<u>145,475,989</u>
Less: expected credit losses	(434)	(1)	(435)	(597)	(2)	(599)
	<u>153,012,827</u>	<u>2,900,232</u>	<u>155,913,059</u>	<u>144,210,518</u>	<u>1,264,872</u>	<u>145,475,390</u>

Debt instruments under repurchase agreements included in non-trading investments at 31 Mar 22 amounted to AED 32,596 million (31 Dec 2021: AED 30,956 million).

9 Investment properties

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Beginning of the period	6,962,576	7,603,230
Additions / transfer from PPE	516,378	134,081
Disposals / transfer to PPE	-	(24,735)
Fair value adjustment	-	(750,000)
End of the period	<u>7,478,954</u>	<u>6,962,576</u>

The fair value of the properties is based on the valuations performed by third party valuers as at 31 December 2021 and all are level 3 under fair value hierarchy.

10 Intangibles

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Goodwill ¹	17,712,647	17,712,647
Customer relationship	1,774,716	1,774,716
Core deposits	593,335	593,335
License	368,700	368,700
Brand	22,000	22,000
	<u>20,471,398</u>	<u>20,471,398</u>
Accumulated amortisation	<u>(1,077,123)</u>	<u>(1,030,995)</u>
	<u>19,394,275</u>	<u>19,440,403</u>

¹includes provisional goodwill arising from business combination (Note 32)

Notes to the condensed consolidated interim financial statements (continued)

11 Due to banks and financial institutions

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Banks and financial institutions	28,389,384	21,635,207
Central banks	32,283,589	35,349,973
	<u>60,672,973</u>	<u>56,985,180</u>

12 Commercial paper

The Bank has a Euro Commercial Paper programme with a limit of USD 3.5 billion and a US Dollar Commercial Paper programme with a limit of USD 10 billion.

The notes outstanding as at the end of the reporting date amounted to AED 28,543 million (31 Dec 2021: AED 39,664 million) and have maturity period of less than 12 months.

The Group has not had any defaults of principal, interests or other breaches with respect to its Commercial paper programmes during three months period ended 31 March 2022.

13 Customer accounts and other deposits

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
By account:		
Current accounts	296,552,130	273,830,659
Savings accounts	13,356,624	14,026,161
Margin accounts	2,940,153	2,926,361
Notice and time deposits	251,803,214	275,094,212
	<u>564,652,121</u>	<u>565,877,393</u>
Certificates of deposit	35,221,115	48,581,872
	<u>599,873,236</u>	<u>614,459,265</u>
By counterparty:		
Government sector	178,184,464	171,768,336
Public sector	84,692,516	93,421,723
Corporate / private sector	208,326,885	198,755,289
Personal / retail sector	93,448,256	101,932,045
	<u>564,652,121</u>	<u>565,877,393</u>
Certificates of deposit	35,221,115	48,581,872
	<u>599,873,236</u>	<u>614,459,265</u>

Notes to the condensed consolidated interim financial statements (continued)

14 Term borrowings

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
At amortised cost	63,660,239	71,023,959
At fair value through profit or loss	540,701	619,857
	<u>64,200,940</u>	<u>71,643,816</u>

During the period, the Bank has issued various fixed and floating rate notes. The movement of term borrowings during the period is below:

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Beginning of the period	71,643,816	62,437,103
New issuances	2,143,820	17,148,833
Redemptions	(7,755,685)	(5,827,560)
Fair valuation, exchange and other adjustments	(1,831,011)	(2,114,560)
End of the period	<u>64,200,940</u>	<u>71,643,816</u>

Notes to the condensed consolidated interim financial statements (continued)

14 Term borrowings (continued)

		31 Mar 2022 (Unaudited)						31 Dec 2021 (Audited)					
Currency	Interest	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Total AED'000	Up to 3 months AED'000	3 months to 1 year AED'000	1 to 3 years AED'000	3 to 5 years AED'000	Over 5 years AED'000	Total AED'000
AED	Fixed rate of 4.00% to 4.20% p.a.	-	-	3,714	94,900	-	98,614	-	-	3,798	97,646	-	101,444
AUD	Fixed rate of 1.87% to 3.17% p.a.	-	-	-	165,031	-	165,031	-	-	-	168,699	-	168,699
AUD	3 month AUD BBSW + upto 0.224% p.a.	-	-	964,986	497,970	82,627	1,545,583	66,561	-	-	1,415,981	79,806	1,562,348
CHF	Fixed rate of 0.07% to 0.625% p.a.	794,694	-	2,153,312	1,339,806	1,520,669	5,808,481	-	806,370	2,209,207	1,400,629	1,604,442	6,020,648
CNH	Fixed rate of 3 % to 4.8% p.a.	8	-	1,803,324	4,351,744	-	6,155,076	40,493	-	1,736,149	4,397,100	-	6,173,742
EUR	Fixed rate of 0.125% to 3.00% p.a.	-	-	98,274	3,304,216	173,365	3,575,855	-	-	102,075	3,469,870	228,214	3,800,159
GBP	Fixed rate of 0.875% to 2.205% p.a.	-	2,152,236	-	3,044,865	92,240	5,289,341	-	-	2,221,519	3,213,053	99,746	5,534,318
GBP	GBP SONIA CMP-5BD + 0.197 % p.a.	-	-	-	-	-	-	99,854	-	-	-	-	99,854
HKD	Fixed rate of 0.475% to 4.18% p.a.	297,973	74,249	608,870	901,738	183,435	2,066,265	223,593	300,386	697,116	940,310	194,157	2,355,562
JPY	Fixed rate of 0.235% to 2.60% p.a.	-	-	60,086	304,872	-	364,958	-	-	63,798	323,565	-	387,363
MXN	Fixed rate of 0.50% p.a.	-	-	-	-	7,454	7,454	-	-	-	-	7,434	7,434
PHP	Fixed rate of 3.80% p.a.	-	-	153,132	-	-	153,132	-	-	159,026	-	-	159,026
USD	Fixed rate up till 8.125% p.a.	515,421	5,528,325	10,021,825	4,302,732	5,838,223	26,206,526	6,993,272	498,150	11,964,749	6,507,704	6,280,335	32,244,210
USD	3 Month LIBOR + till 0.965% p.a.	4,117,393	110,190	5,881,492	1,854,852	183,650	12,147,577	495,855	4,109,023	5,860,341	1,983,468	183,650	12,632,337
USD	USD SOFR QRT OB SHIFT -5BD + 0.049 % to 0.058%	-	-	183,638	433,409	-	617,047	-	-	183,638	213,034	-	396,672
		5,725,489	7,865,000	21,932,653	20,596,135	8,081,663	64,200,940	7,919,628	5,713,929	25,201,416	24,131,059	8,677,784	71,643,816

Notes to the condensed consolidated interim financial statements (continued)

15 Subordinated notes

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
10 December 2012 issue (4.75 percent fixed rate maturing on 9 December 2027)	444,921	448,908

The Bank has hedged the interest rate and foreign currency exposure on the subordinated notes. The Bank has not had any defaults of principal, interests, or other breaches with respect to its subordinated notes during three months period ended 31 March 2022.

16 Capital and reserves

Share Capital

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Authorised share capital	11,047,612	10,920,000
Ordinary shares of AED 1 each	11,047,612	10,920,000
Treasury shares of AED 1 each	6,505	6,430

At the Annual General Meeting (AGM) held on 28 February 2022, the shareholders of the Bank approved a cash dividend of AED 0.49 per ordinary share amounting to AED 5,351 million and a scrip dividend of AED 0.21 per ordinary share amounting to AED 2,293 million (31 Dec 2020: cash dividend of AED 0.74 per ordinary share amounting to AED 8,080 million).

Other reserves

	Fair value reserve AED'000	General reserve AED'000	Foreign currency translation reserve AED'000	IFRS 9 reserve - specific AED'000	IFRS 9 reserve – collective AED'000	Total AED'000
As at 1 Jan 2022	1,366,215	228,265	(535,023)	1,221,969	1,287,759	3,569,185
Other comprehensive loss for the period	(1,156,868)	-	(321,210)	-	-	(1,478,078)
IFRS 9 reserve movement	-	-	-	-	-	-
Balance at 31 Mar 2022	209,347	228,265	(856,233)	1,221,969	1,287,759	2,091,107
As at 1 Jan 2021	1,168,389	228,265	(377,851)	1,220,996	642,622	2,882,421
Other comprehensive income/ (loss) for the period	126,709	-	(339,364)	-	-	(212,655)
IFRS 9 reserve movement	-	-	-	446	-	446
Realised gain on sale of FVOCI Investment	(2,035)	-	-	-	-	(2,035)
Balance at 31 Mar 2021	1,293,063	228,265	(717,215)	1,221,442	642,622	2,668,177

Notes to the condensed consolidated interim financial statements (continued)

17 Tier 1 capital notes

		(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Government of Abu Dhabi Notes (6 month EIBOR plus 2.3 percent per annum)	AED	8,000,000	8,000,000
USD 750 million Notes (4.50 percent fixed rate per annum, thereafter reset on the First date and every sixth anniversary thereafter on the basis of the aggregate of the margin and the relevant six year reset on the relevant U.S. Securities determination date)	USD	2,754,750	2,754,750
		10,754,750	10,754,750

Tier 1 capital notes are perpetual, subordinated, unsecured and carry coupons to be paid semi-annually in arrears. The Bank may elect not to pay a coupon at its own discretion. The note holder does not have a right to claim the coupon and an election by the Bank not to service coupon is not considered an event of default. In addition, there are certain circumstances under which the Bank is prohibited from making a coupon payment on a relevant coupon payment date.

If the Bank makes a non-payment election or a non-payment event occurs, then the Bank will not (a) declare or pay any distribution or dividend or (b) redeem, purchase, cancel, reduce or otherwise acquire any of the share capital or any securities of the Bank ranking pari passu with or junior to the notes except securities, the term of which stipulate a mandatory redemption or conversion into equity, in each case unless or until two consecutive coupon payments have been paid in full.

During the period, the coupon payment election was made by the Bank amounting to AED 115,650 thousand (31 Mar 2021: AED 119,718 thousand).

18 Share based payment

The Group had introduced in 2008 a share based payment scheme (the "Scheme") for selected employees which would vest over three years and can be exercised within the next three years after the vesting period. The key vesting condition is that the option holder is in continued employment with the Bank until the end of the vesting period. The options lapse six years after their date of grant irrespective of whether they are exercised or not.

The Group established a subsidiary to issue shares when the vested option is exercised by the employee. These shares are treated as treasury shares until exercised by the option holders.

During the period, Nil shares (31 Mar 2021: 595 thousand) have been awarded, therefore reallocated from treasury shares held to share capital by AED Nil (31 Mar 2021: AED 595 thousand) and share premium has been adjusted by AED Nil (31 Mar 2021: AED 4,960 thousand) accordingly relating to this.

Notes to the condensed consolidated interim financial statements (continued)

19 Net foreign exchange (loss) / gain

	(Unaudited) Three month period ended 31 Mar 2022 AED'000	(Unaudited) Three month period ended 31 Mar 2021 AED'000
Trading and retranslation (loss)/gain on foreign exchange and related derivatives ^{1,2}	(391,899)	153,450
Dealings with customers	225,177	165,372
	<u>(166,722)</u>	<u>318,822</u>

¹ Due to effective hedging strategies, the offsetting impact of hedging instruments is reflected in the net gains from sale of non-trading investments.

² Includes negative interest income of AED 55 million (31 Mar 2021: AED 121 million) arising from placement with ECB.

20 Net gain on investments and derivatives

	(Unaudited) Three month period ended 31 Mar 2022 AED'000	(Unaudited) Three month period ended 31 Mar 2021 AED'000
Net realised and unrealised gain/(loss) on investments at fair value through profit or loss and derivatives	485,893	(16,080)
Net gain from sale of non-trading investments	135,557	366,691
Dividend income	10,349	7,448
	<u>631,799</u>	<u>358,059</u>

21 Other operating income

	(Unaudited) Three month period ended 31 Mar 2022 AED'000	(Unaudited) Three month period ended 31 Mar 2021 AED'000
Investment property income	86	1,412
Leasing related income	45,589	29,362
Gain on sale of property and equipment	95	294,241
Other income	37,190	38,172
	<u>82,960</u>	<u>363,187</u>

Notes to the condensed consolidated interim financial statements (continued)

22 Gain on disposal of stake in subsidiary and fair value gain on retained interest

On 25 February 2022, the Group entered into a sale and purchase agreement (SPA) with BCP V Growth Aggregator LP ("Purchaser") whereby the Bank has agreed to sell its controlling stake of 60% of its wholly owned subsidiary, Magnati Sole Proprietorship LLC "Magnati" to the Purchaser. The Bank has recorded a gain of AED 2.8 billion within the results for the quarter ended 31 March 2022 based on this sale.

23 General, administration and other operating expenses

	(Unaudited) Three month period ended 31 Mar 2022 AED'000	(Unaudited) Three month period ended 31 Mar 2021 AED'000
Staff costs	776,237	691,679
Other general and administration expenses	460,347	394,467
Depreciation	225,142	169,356
Amortisation on intangibles	46,128	49,617
Sponsorships and donations	13,507	13,915
	<u>1,521,361</u>	<u>1,319,034</u>

24 Net impairment charge

	(Unaudited) Three month period ended 31 Mar 2022 AED'000	(Unaudited) Three month period ended 31 Mar 2021 AED'000
Impairment charge / (reversal) on		
loans, advances and Islamic financing	437,914	427,165
other financial assets	(312)	(28,408)
unfunded exposure	17,539	151,175
other non-financial instruments	5,339	-
Recoveries	(59,748)	(104,036)
Write-off of impaired financial assets	56,668	24,386
	<u>457,400</u>	<u>470,282</u>

Notes to the condensed consolidated interim financial statements (continued)

25 Earnings per share

Earnings per share is calculated by dividing the net profit for the period after deduction of Tier 1 capital notes payment by the weighted average number of ordinary shares in issue during the period as set out below:

	(Unaudited) Three month period ended 31 Mar 2022	(Unaudited) Three month period ended 31 Mar 2021
Basic earnings per share:		
Net profit for the period (AED'000)	5,120,263	2,475,627
Less: payment on Tier 1 capital notes (AED'000)	(115,650)	(119,718)
Net profit after payment of Tier 1 capital notes (AED'000)	<u>5,004,613</u>	<u>2,355,909</u>
Weighted average number of ordinary shares:		
Number of shares issued / deemed to be outstanding at the beginning of the period ('000)	10,913,570	10,911,020
Effect due to Scrip Dividend issued during the period	127,537	127,537
Weighted average number of shares exercised under the share based payment scheme ('000)	-	192
Weighted average number of ordinary shares ('000)	<u>11,041,107</u>	<u>11,038,749</u>
Basic earnings per share (AED)	<u>0.45</u>	<u>0.21</u>
Diluted earnings per share:		
Net profit for the period for calculating diluted earning per share (AED'000)	5,004,613	2,355,909
Weighted average number of ordinary shares ('000)	11,041,107	11,038,749
Weighted average number of dilutive shares under share based payment scheme ('000)	-	1,106
Weighted average number of ordinary shares in issue for diluted earnings per share ('000)	<u>11,041,107</u>	<u>11,039,855</u>
Diluted earnings per share (AED)	<u>0.45</u>	<u>0.21</u>

Notes to the condensed consolidated interim financial statements (continued)

26 Cash and cash equivalents

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Cash and balances with Central Banks	208,065,183	258,934,979
Due from banks and financial institutions	19,175,266	19,383,306
	<u>227,240,449</u>	<u>278,318,285</u>
Less: Balances with Central Banks maturing after three months of placement	(2,088,863)	(5,384,239)
Less: Due from banks and financial institutions maturing after three months of placement	(527,246)	(119,926)
	<u>224,624,340</u>	<u>272,814,120</u>

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with Central banks and highly liquid financial assets with original maturities of three months or less from the date of its acquisition.

27 Commitments and contingencies

The Group, in the ordinary course of business, enters into various types of transactions that involve undertaking certain commitments such as letters of credit, guarantees and undrawn loan commitments.

There were no other significant changes in contingent liabilities and commitments during the period other than those arising out of normal course of business.

	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Letter of credit	51,778,540	63,589,462
Letters of guarantees	101,463,787	101,353,201
Financial guarantees	73,839	293,459
Irrevocable Undrawn commitments	59,685,317	51,407,472
Private Equity commitments	1,367,545	1,291,544
	<u>214,369,028</u>	<u>217,935,138</u>

Trade contingencies

Notes to the condensed consolidated interim financial statements (continued)

28 Segmental information

The operating structure consists of four key Business segments across Geographic segments that are driving the business strategy, customer value propositions, products and channel development and customer relationships in addition to supporting the delivery of the Group's financial performance.

During 2021, the Group reorganized its business model so that Corporate & Investment Banking and Personal Banking groups had been re-segmented into four distinct business lines: Investment Banking, Corporate & Commercial Banking, Consumer Banking and Private Banking. This will reposition the Group's businesses to be more customer centric and enable specialist product and service propositions aligned to the respective customer bases the Group services to drive competitive advantage and enhance revenue generation capabilities.

Business segments

Investment Banking ("IB")

IB offers banking and financing solutions, including corporate & Islamic finance, capital markets, transaction banking, trade, liquidity and cash management services along with a broad range of risk management solutions across credit, rates, FX and money market products. Focused on Institutional clients, IB team enhances product delivery and specialization across various customer sectors which includes Government, Sovereign & Public Sector, Sovereign Wealth Fund & Financial Sponsors, Natural Resources, Global Diversified Industrials, Financial Institutions Group & Global Subsidiaries.

Corporate & Commercial ("CCB")

CCB focuses on large corporates, medium and small entities with diversified products offering across sub segments which includes Corporate Banking, Contracting, Commercial Banking and Privileged Client Group.

Consumer Banking ("CB")

The business targets consumer & elite segment across conventional and Islamic sector. The products' ranges offered include everyday banking products such as current accounts, deposits, credit cards, loans, wealth products etc. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, direct sales agents and through its banking subsidiaries namely and First Abu Dhabi Islamic Finance.

Global Private Banking ("GPB")

The business targets affluent and high net-worth customers across conventional and Islamic sector. The products' ranges offered include everyday banking products plus sophisticated investment solutions, brokerage and securities services. The business furnishes variety of distribution and sales channels, including mobile and internet banking, branches, relationship managers and through its banking subsidiaries including mainly FAB Securities.

Head office

The Group provides centralized human resources, information technology, operations, finance, strategy, investor relations, risk management, credit management, corporate communications, legal & compliance, internal audit, procurement, treasury operations and administrative support to all of its business units.

HO also includes a diversified business model supported by complementary offerings provided across real estate, property management services through subsidiaries partially or fully owned by the Group, namely FAB Properties, Abu Dhabi National Properties and Mismak.

Geographic segments

The Group is managing its various business segments through a network of branches, subsidiaries and representative offices within the two defined geographic segments which are UAE and International.

Notes to the condensed consolidated interim financial statements (continued)

28 Segmental information (continued)

For the three month period ended 31 Mar 2022
(Unaudited)

Net interest income and income from Islamic
financing and investing products
Net non-interest income

Operating income

Gain on disposal of stake in subsidiary and fair
value gain on retained interest
Total Income including gain on disposal of stake in
subsidiary and fair value gain on retained interest

General administration and other operating
expenses
Net impairment charge

Profit/(loss) before taxation

Income tax expense

Net profit/(loss) for the period

As at 31 Mar 2022 (Unaudited)

Segment total assets

Inter segment balances

Total assets

Segment total liabilities

Inter segment balances

Total liabilities

	Business Segment						Geographic Segment		
	Investment Banking	Corporate and commercial Banking Group	Consumer Banking	Global Private Banking	Head Office	Total	UAE	International	Total
Net interest income and income from Islamic financing and investing products	1,235,162	604,634	962,247	181,372	151,333	3,134,748	2,380,000	754,748	3,134,748
Net non-interest income	633,746	435,668	94,509	56,782	102,706	1,323,411	1,013,248	310,163	1,323,411
Operating income	1,868,908	1,040,302	1,056,756	238,154	254,039	4,458,159	3,393,248	1,064,911	4,458,159
Gain on disposal of stake in subsidiary and fair value gain on retained interest	-	-	2,805,423	-	-	2,805,423	2,805,423	-	2,805,423
Total Income including gain on disposal of stake in subsidiary and fair value gain on retained interest	1,868,908	1,040,302	3,862,179	238,154	254,039	7,263,582	6,198,671	1,064,911	7,263,582
General administration and other operating expenses	(411,259)	(249,361)	(539,190)	(96,006)	(225,545)	(1,521,361)	(1,097,074)	(424,287)	(1,521,361)
Net impairment charge	(168,103)	(112,162)	(134,452)	(5,447)	(37,236)	(457,400)	(176,984)	(280,416)	(457,400)
Profit/(loss) before taxation	1,289,546	678,779	3,188,537	136,701	(8,742)	5,284,821	4,924,613	360,208	5,284,821
Income tax expense	(91,397)	(15,045)	-	(11,075)	(44,045)	(161,562)	(28,103)	(133,459)	(161,562)
Net profit/(loss) for the period	1,198,149	663,734	3,188,537	125,626	(52,787)	5,123,259	4,896,510	226,749	5,123,259
Segment total assets	648,772,877	132,801,943	68,946,366	34,660,100	128,164,157	1,013,345,443	744,499,118	335,689,648	1,080,188,766
Inter segment balances						(32,182,205)			(99,025,528)
Total assets						981,163,238			981,163,238
Segment total liabilities	582,008,067	134,875,828	65,510,309	29,389,290	90,551,137	902,334,631	664,248,218	304,929,736	969,177,954
Inter segment balances						(32,182,205)			(99,025,528)
Total liabilities						870,152,426			870,152,426

Notes to the condensed consolidated interim financial statements (continued)

28 Segmental information (continued)

	Business Segment						Geographic Segment		
	Investment Banking AED'000	Corporate and commercial Banking Group AED'000	Consumer Banking AED'000	Global Private Banking AED'000	Head Office	Total AED'000	UAE AED'000	International	Total AED'000
For the three month period ended 31 Mar 2021 (Unaudited)									
Net interest income and income from Islamic financing and investing products	1,121,493	486,164	990,350	185,650	(104,340)	2,679,317	2,022,627	656,690	2,679,317
Net non-interest income	828,733	319,892	200,853	55,264	298,144	1,702,886	1,539,867	163,019	1,702,886
Operating income	<u>1,950,226</u>	<u>806,056</u>	<u>1,191,203</u>	<u>240,914</u>	<u>193,804</u>	<u>4,382,203</u>	<u>3,562,494</u>	<u>819,709</u>	<u>4,382,203</u>
General administration and other operating expenses	(372,413)	(227,850)	(563,256)	(82,826)	(72,689)	(1,319,034)	(1,026,373)	(292,661)	(1,319,034)
Net impairment charge	31,301	(268,015)	(226,736)	(3,720)	(3,112)	(470,282)	(438,921)	(31,361)	(470,282)
Profit before taxation	<u>1,609,114</u>	<u>310,191</u>	<u>401,211</u>	<u>154,368</u>	<u>118,003</u>	<u>2,592,887</u>	<u>2,097,200</u>	<u>495,687</u>	<u>2,592,887</u>
Income tax expense	<u>(90,043)</u>	<u>(7,911)</u>	<u>(284)</u>	<u>(12,803)</u>	<u>(2,614)</u>	<u>(113,655)</u>	<u>(1,308)</u>	<u>(112,347)</u>	<u>(113,655)</u>
Net profit for the period	<u>1,519,071</u>	<u>302,280</u>	<u>400,927</u>	<u>141,565</u>	<u>115,389</u>	<u>2,479,232</u>	<u>2,095,892</u>	<u>383,340</u>	<u>2,479,232</u>
As at 31 Dec 2021 (Audited)									
Segment total assets	<u>683,812,930</u>	<u>114,569,298</u>	<u>76,699,052</u>	<u>31,831,417</u>	<u>118,921,908</u>	<u>1,025,834,605</u>	<u>766,459,386</u>	<u>377,901,179</u>	<u>1,144,360,565</u>
Inter segment balances						<u>(25,491,228)</u>			<u>(144,017,188)</u>
Total assets						<u>1,000,343,377</u>			<u>1,000,343,377</u>
Segment total liabilities	<u>587,161,443</u>	<u>140,386,579</u>	<u>61,903,671</u>	<u>24,870,781</u>	<u>98,682,558</u>	<u>913,005,032</u>	<u>677,674,173</u>	<u>353,856,819</u>	<u>1,031,530,992</u>
Inter segment balances						<u>(25,491,228)</u>			<u>(144,017,188)</u>
Total liabilities						<u>887,513,804</u>			<u>887,513,804</u>

Notes to the condensed consolidated interim financial statements (continued)

29 Related parties

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions. Related parties comprise major shareholder, directors and key management personnel of the Group. Key management personnel comprise those executive committee members "EXCO" of the Group who are involved in the strategic planning and decision making of the Group. The terms of these transactions are approved by the Group's management and are made on terms agreed by the Board of Directors or management.

FAB operates in a market dominated by entities directly or indirectly controlled by the Government of Abu Dhabi through its government authorities, agencies, affiliations and other organizations, collectively referred to as government-related entities. FAB has transactions with other government-related entities and these transactions are conducted in the ordinary course of FAB's business on terms agreed by the Board.

31 Mar 2022 (Unaudited)					31 Dec 2021 (Audited)
BOD AED'000	Major shareholders AED'000	Senior Management AED'000	Associates AED'000	Total AED'000	Total AED'000

Balances with related parties at the reporting date are shown below:

Financial assets	16,421,087	26,783,874	47,040	-	43,252,001	34,282,642
Financial liabilities	24,231,694	28,171,645	34,197	294,182	52,731,718	57,779,565
Contingent liabilities	2,640,311	9,665,708	-	184	12,306,203	21,702,546

Transactions carried out during the three month period with related parties are shown below:

Interest & other income	85,878	103,535	221	-	189,634	187,853
Interest expense	42,322	8,446	48	-	50,816	102,002

The details of the key management personnel remuneration is as below:

	(Unaudited) 31 Mar 2022 AED'000	(Unaudited) 31 Mar 2021 AED'000
Salaries and other benefits	25,175	30,279

No ECL has been charged during the three months period on the related party balances.

Notes to the condensed consolidated interim financial statements *(continued)*

30 Financial risk management

Credit risk

Credit risk is the risk that a customer or counterparty to a financial asset fails to meet its contractual obligations and cause the Group to incur a financial loss. It arises principally from the Group's loans, advances and Islamic financing, due from banks and financial institutions, reverse repurchase agreements and non-trading debt investments, derivative financial instruments and certain other assets.

COVID-19 and Expected Credit Loss (ECL)

On 11 March 2020, the World Health Organization ("WHO") officially declared COVID-19 a global pandemic. In light of the rapid spread of COVID-19 across the globe, various economies and sectors have faced significant disruptions and uncertainty and governments and authorities have instigated a host of measures to contain or delay the spread of the virus.

In line with other global regulators, the Central Bank of the UAE, under the Targeted Economic Support Scheme ("TESS"), had facilitated the provision of temporary relief from the payments or deferral of principal and/or interest / profit on outstanding loans for all affected private sector corporates, SMEs and individuals with specific conditions.

CBUAE phased out the deferrals under TESS by end of 31 December 2021, however, it had extended the relief granted under TESS for capital, liquidity and stable funding requirements, to all banks operating in the UAE, from 31 December 2021 to 30 June 2022.

Currently, there are no deferral relief considered under TESS programme as of 31 March 2022, however, CBUAE had extended the relief granted under TESS whereby Banks and finance companies may offer new working capital loans, bridge loans, or any other new financing to private sector corporates, SMEs, and individuals in the UAE under the TESS recovery program to facilitate provision of relief and recovery of their corresponding customers negatively affected by COVID-19 repercussions until June 2022. Currently, the Group does not have any new exposures granted under the TESS Recovery programme as of 31 March 2022.

The Group continues to closely monitor the impact of COVID-19 on the Bank's portfolio.

Deferral amounts of UAE customers

As at 31 March 2022, the total deferrals provided to customers as a result of COVID-19 was AED 14.44 billion (2021: AED 14.36 billion), out of which AED 14.39 billion has been regularized in accordance with the Bank's policy at the end of the current period. Total active deferrals as at 31 March 2022 amounted to AED 0.05 billion (2021: AED 5.45 billion). All active deferrals as at 31 March 2022 relate to Consumer Banking customers.

Notes to the condensed consolidated interim financial statements (continued)

30 Financial risk management (continued)

Credit risk (continued)

The Group measures its exposure to credit risk by reference to the gross carrying amount of financial assets less amounts offset, interest suspended and impairment losses, if any. The carrying amount of financial assets represents the maximum credit exposure.

As at 31 Mar 2022 (Unaudited)	Stage 1		Stage 2		Stage 3		Purchased or originally credit impaired ⁴		Total	
	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000	Exposure AED'000	Provision AED'000
Balances with central Banks	205,021,441	26,557	1,239,467	118,062	-	-	-	-	206,260,908	144,619
Due from banks and financial institutions	18,089,308	18,858	1,085,958	40,626	-	-	-	-	19,175,266	59,484
Reverse repurchase agreements	44,583,557	44,636	-	-	-	-	-	-	44,583,557	44,636
Loans, advances and Islamic financing ¹	412,480,426	1,558,854	17,492,838	3,329,128	16,889,660	7,529,041	5,795,657	836,787	452,658,581	13,253,810
Non-trading investments										
Amortised cost	4,953,596	435	-	-	-	-	-	-	4,953,596	435
FVOCI Debt ²	148,329,886	86,141	83,233	4,132	-	-	-	-	148,413,119	90,273
Other assets ³	13,001,335	96,005	175,104	827	667	397	-	-	13,177,106	97,229
Unfunded exposure	207,527,027	162,086	4,523,495	263,479	944,090	408,444	6,871	4,428	213,001,483	838,437
	1,053,986,576	1,993,572	24,600,095	3,756,254	17,834,417	7,937,882	5,802,528	841,215	1,102,223,616	14,528,923

¹The exposure represents gross loans, advances and Islamic financing.

²The provision against financial instruments classified as FVOCI is included in the fair value reserve.

³On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.

⁴The Group, from an internal credit quality point of view, considers AED 5,673 million as par to non-performing loans, advances and Islamic financing.

Notes to the condensed consolidated interim financial statements (continued)

30 Financial risk management (continued)

Credit risk (continued)

As at 31 Dec 2021 (Audited)	Stage 1		Stage 2		Stage 3		Purchased or originally credit impaired ⁴		Total	
	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision	AED'000 Exposure	AED'000 Provision
Balances with central banks	255,536,059	38,466	1,495,763	118,064	-	-	-	-	257,031,822	156,530
Due from banks and financial institutions	18,508,590	17,075	874,716	40,637	-	-	-	-	19,383,306	57,712
Reverse repurchase agreements	46,288,005	27,360	-	-	-	-	-	-	46,288,005	27,360
Loans, advances and Islamic financing ¹	387,958,280	1,624,630	18,324,871	3,397,499	16,807,188	7,358,566	5,692,979	847,396	428,783,318	13,228,091
Non-trading investments										
Amortised cost	4,492,104	599	-	-	-	-	-	-	4,492,104	599
FVOCI Debt ²	139,907,615	101,389	72,941	7,522	-	-	-	-	139,980,556	108,911
Other assets ³	13,158,761	87,781	344,746	1,222	667	399	-	-	13,504,174	89,402
Unfunded exposure	210,751,733	154,456	4,694,926	246,568	1,188,949	417,425	7,986	5,147	216,643,594	823,596
	<u>1,076,601,147</u>	<u>2,051,756</u>	<u>25,807,963</u>	<u>3,811,512</u>	<u>17,996,804</u>	<u>7,776,390</u>	<u>5,700,965</u>	<u>852,543</u>	<u>1,126,106,879</u>	<u>14,492,201</u>

¹The exposure represents gross loans, advances and Islamic financing.

²The provision against financial instruments classified as FVOCI is included in the fair value reserve.

³On certain assets included as part of other assets, ECL is computed based on simplified approach and reported as part of stage 1.

⁴The Group, from an internal credit quality point of view, considers AED 5,563 million as par to non-performing loans, advances and Islamic financing.

Notes to the condensed consolidated interim financial statements (continued)

30 Financial risk management (continued)

Credit risk (continued)

The movement in the allowance for impairment during the period is shown below:

	(Unaudited) Three month period ended 31 Mar 2022 AED'000	(Unaudited) Three month period ended 31 Mar 2021 AED'000
Beginning of the period	14,492,201	13,601,664
Net charge for impairment of financial instruments	455,141	549,932
Amounts written off and other adjustment	(418,419)	(473,108)
End of the period	14,528,923	13,678,488

The Group's credit concentration by counterparty for trading securities and non-trading investments are disclosed below:

	Investments at fair value through profit or loss		Non-trading investments	
	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
Government sector	21,620,040	28,835,932	106,009,216	93,954,390
Supranational	1,466,003	2,065,942	608,461	634,136
Public sector	722,227	737,753	14,816,335	15,337,453
Banking sector	3,004,726	4,461,755	25,441,464	28,062,492
Corporate / private sector	8,753,644	9,470,870	9,038,018	7,487,518
	35,566,640	45,572,252	155,913,494	145,475,989
Less: allowance for impairment (expected credit loss) on amortised cost securities	-	-	(435)	(599)
	35,566,640	45,572,252	155,913,059	145,475,390

Notes to the condensed consolidated interim financial statements (continued)

30 Financial risk management (continued)

Credit risk (continued)

The external ratings for trading securities and non-trading investments are disclosed below:

	Investments at fair value through profit or loss		Non-trading investments	
	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000	(Unaudited) 31 Mar 2022 AED'000	(Audited) 31 Dec 2021 AED'000
AAA	667,736	722,673	36,456,413	30,281,925
AA to A	13,555,351	17,189,979	77,781,034	79,096,748
BBB and below	11,701,798	17,725,908	36,445,673	32,402,191
CCC and below	64,230	82,479	143,694	142,508
Unrated	9,577,525	9,851,213	5,086,680	3,552,617
	35,566,640	45,572,252	155,913,494	145,475,989
Less: allowance for impairment (expected credit loss) on amortised cost securities	-	-	(435)	(599)
	35,566,640	45,572,252	155,913,059	145,475,390

Investments at fair value through profit or loss includes investment in equity instruments and private equity funds which do not carry credit risk (refer Note 6).

31 Financial assets and liabilities

Financial instruments measured at fair value - hierarchy

The table below analyses financial instruments measured at fair value at the end of the reporting period, by the level in the fair value hierarchy into which the fair value measurement is categorised:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 Mar 2022 (Unaudited)				
Investment at fair value through profit or loss	4,952,617	23,461,212	7,152,811	35,566,640
FVOCI - with recycle to profit or loss	108,176,230	38,976,357	1,260,532	148,413,119
FVOCI - without recycle to profit or loss	807,849	23,688	205,014	1,036,551
Derivative financial instruments (Assets)	234,985	32,780,679	1,355	33,017,019
	114,171,681	95,241,936	8,619,712	218,033,329
Term borrowings	-	540,701	-	540,701
Derivative financial instruments (Liabilities)	273,413	34,547,749	17,553	34,838,715
	273,413	35,088,450	17,553	35,379,416

Notes to the condensed consolidated interim financial statements (continued)

31 Financial assets and liabilities (continued)

Financial instruments measured at fair value - hierarchy (continued)

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 Dec 2021 (Audited)				
Investment at fair value through profit or loss	9,022,529	27,921,612	8,628,111	45,572,252
FVOCI - with recycle to profit or loss	107,011,926	30,680,916	2,287,714	139,980,556
FVOCI - without recycle to profit or loss	722,426	-	205,158	927,584
Derivative financial instruments (Assets)	73,286	24,200,104	376	24,273,766
	<u>116,830,167</u>	<u>82,802,632</u>	<u>11,121,359</u>	<u>210,754,158</u>
Term borrowings	-	619,857	-	619,857
Derivative financial instruments (Liabilities)	103,193	28,267,427	24,465	28,395,085
	<u>103,193</u>	<u>28,887,284</u>	<u>24,465</u>	<u>29,014,942</u>

The following table shows the transfer between the hierarchies:

	Level 1 AED'000	Level 2 AED'000	Level 3 AED'000	Total AED'000
As at 31 Mar 2022 (Unaudited)				
Investment at fair value through profit or loss				
Transfer from 1 to 2	-	79,282	-	79,282
Transfer from 1 to 3	-	-	73,460	73,460
Transfer from 2 to 1	73,985	-	-	73,985
Transfer from 3 to 2	-	599,791	-	599,791
Non-trading investments				
Transfer from 1 to 2	-	6,488,718	-	6,488,718
Transfer from 2 to 1	1,819,204	-	-	1,819,204
Transfer from 2 to 3	-	-	192,215	192,215
Transfer from 3 to 2	-	523,603	-	523,603
	<u>1,893,189</u>	<u>7,691,394</u>	<u>265,675</u>	<u>9,850,258</u>

As at 31 Dec 2021 (Audited)				
Investment at fair value through profit or loss				
Transfer from 1 to 2	-	90,262	-	90,262
Transfer from 2 to 1	17,795	-	-	17,795
Transfer from 3 to 1	4,736	-	-	4,736
Transfer from 3 to 2	-	534	-	534
Non-trading investments				
Transfer from 1 to 2	-	4,907,176	-	4,907,176
Transfer from 2 to 1	774,414	-	-	774,414
Transfer from 3 to 1	37,820	-	-	37,820
Transfer from 3 to 2	-	707,758	-	707,758
	<u>834,765</u>	<u>5,705,730</u>	<u>-</u>	<u>6,540,495</u>

Notes to the condensed consolidated interim financial statements (continued)

31 Financial assets and liabilities (continued)

Financial instruments measured at fair value - hierarchy (continued)

The Management considers that the carrying amounts of financial assets and liabilities recognised in the condensed consolidated interim financial statements do not materially differ from their fair values.

The valuation techniques and inputs used in these condensed consolidated interim financial statements are same as those prescribed in the Group as at and for the year ended 31 December 2021.

32 Business Combination

On 28 April 2021, the Bank acquired 100% of the share capital of Bank Audi SAE (Egypt), Bank Audi's subsidiary in Egypt. The acquisition was effected through transfer of cash from the acquiror to the acquiree. The acquisition was effected to accelerate FAB Group's expansion in high-potential market. It will significantly increase the size, scale and experience of FAB Egypt, adding greater depth and reach to customers both locally and globally.

a. Purchase consideration

The purchase consideration paid for the acquisition of 100% shares is USD 600 million (equivalent to AED 2,203 million).

b. Integration related costs

The Group incurred Integration-related costs of AED 35 million for the period ended 31st Mar 22, relating to consultant and external legal fees and due diligence costs. These costs have been included in 'General, administrative and other operating expenses' in the condensed consolidated interim statement of profit or loss.

c. Identifiable assets acquired and liabilities assumed

The following table summarises the fair value of assets acquired and liabilities assumed on the date of acquisition.

	28 Apr 2021 AED'000
Assets	
Cash and balances with central banks	5,596,549
Due from banks and financial institutions	3,251,214
Investment at fair value through profit or loss	7,398
Reverse repurchase agreement	490,843
Derivative financial instruments	30
Loans, advances and Islamic financing	7,000,479
Non-trading investments	6,706,384
Other assets	318,408
Property and equipment	374,241
Total assets	23,745,546

Notes to the condensed consolidated interim financial statements (continued)

32 Business Combination (continued)

c. Identifiable assets acquired and liabilities assumed (continued)

	28 Apr 2021 AED'000
Liabilities	
Due to banks and financial institutions	79,567
Derivative financial instruments	3
Repurchase agreement	3,355
Customer accounts and other deposits	21,165,336
Other liabilities	635,883
	21,884,144
Net assets as at acquisition date attributable to its common equity holders	1,861,402

d. Goodwill and Intangibles

The Bank has assumed the carrying value of financial assets and liabilities as at 28 April 2021 not to be significantly different to their fair value for the purpose of calculating provisional goodwill:

	AED'000
Total consideration	2,203,800
Bank Audi SAE (Egypt) net assets value	1,861,402
Provisional goodwill	342,398

The Bank is in the process of undertaking a comprehensive purchase price allocation which is expected to be completed within twelve months from the acquisition date and will focus on, but is not limited to, the following:

- valuation of intangible assets;
- valuation of properties and equipment;
- valuation adjustments on other recognized financial and non-financial assets and liabilities; and
- initial adjustments to fair value of loans, advances and Islamic financing have been made, which will be completed in due course.

The goodwill is attributable mainly to the synergies expected to be achieved from acquisition in high potential market.

e. Impact on Group's results

If the acquisition had occurred on 1 January 2021, management estimate that consolidated operating income and profit for the period ended 31 Mar 21 would be AED 230.86 million and AED 64.08 million respectively.

33 Comparative figures

Certain comparative figures have been reclassified where appropriate to conform to the presentation adopted in these condensed consolidated interim financial statements.